

An aerial photograph of a coastline, likely in the Pacific Northwest, showing a mix of dark green forested land and lighter green agricultural fields. A semi-transparent light green rectangular box is positioned in the lower right quadrant of the image, containing the course title and university name.

C211: Global Economics for Managers
Western Governors University

ANALYZING SUPPLY AND DEMAND

EQUILIBRIUM!!

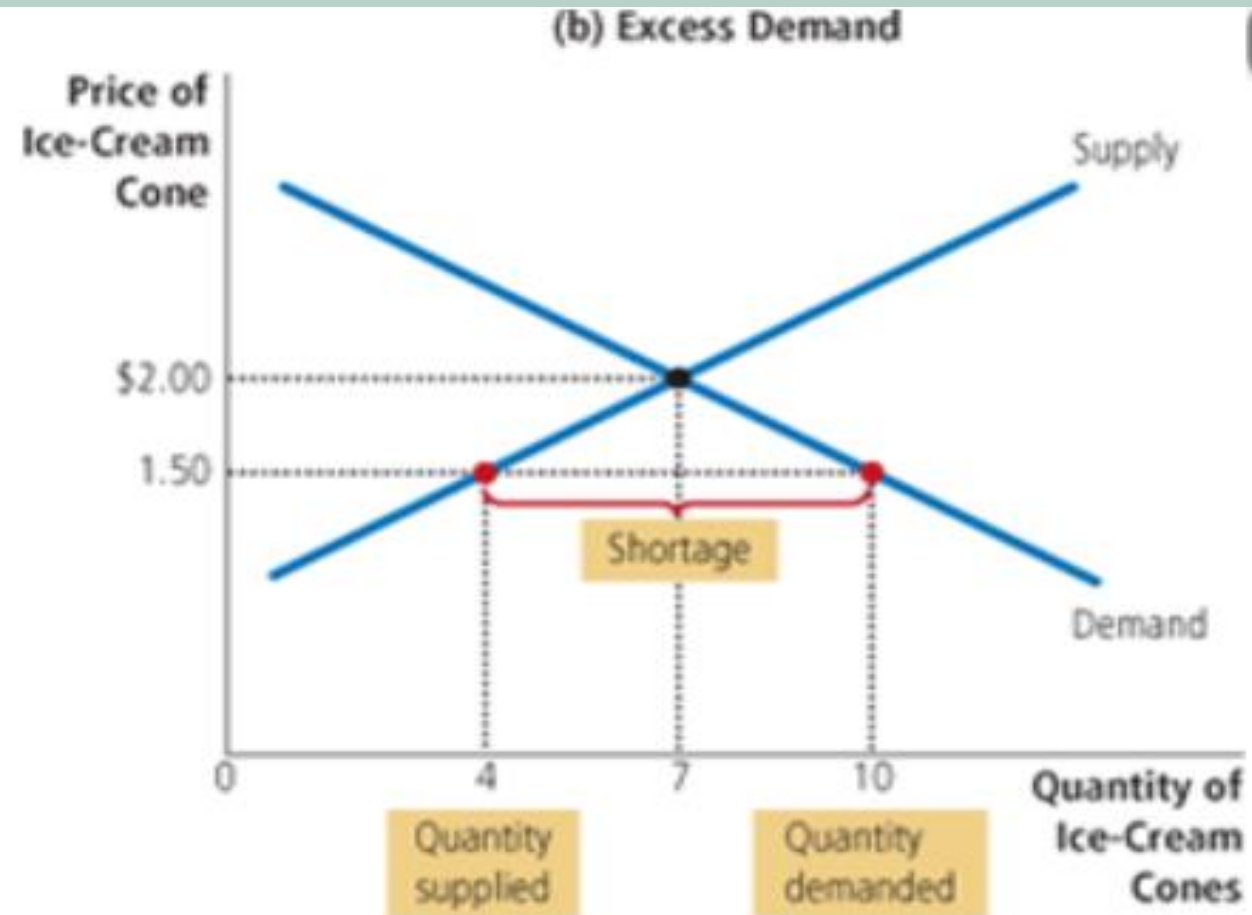
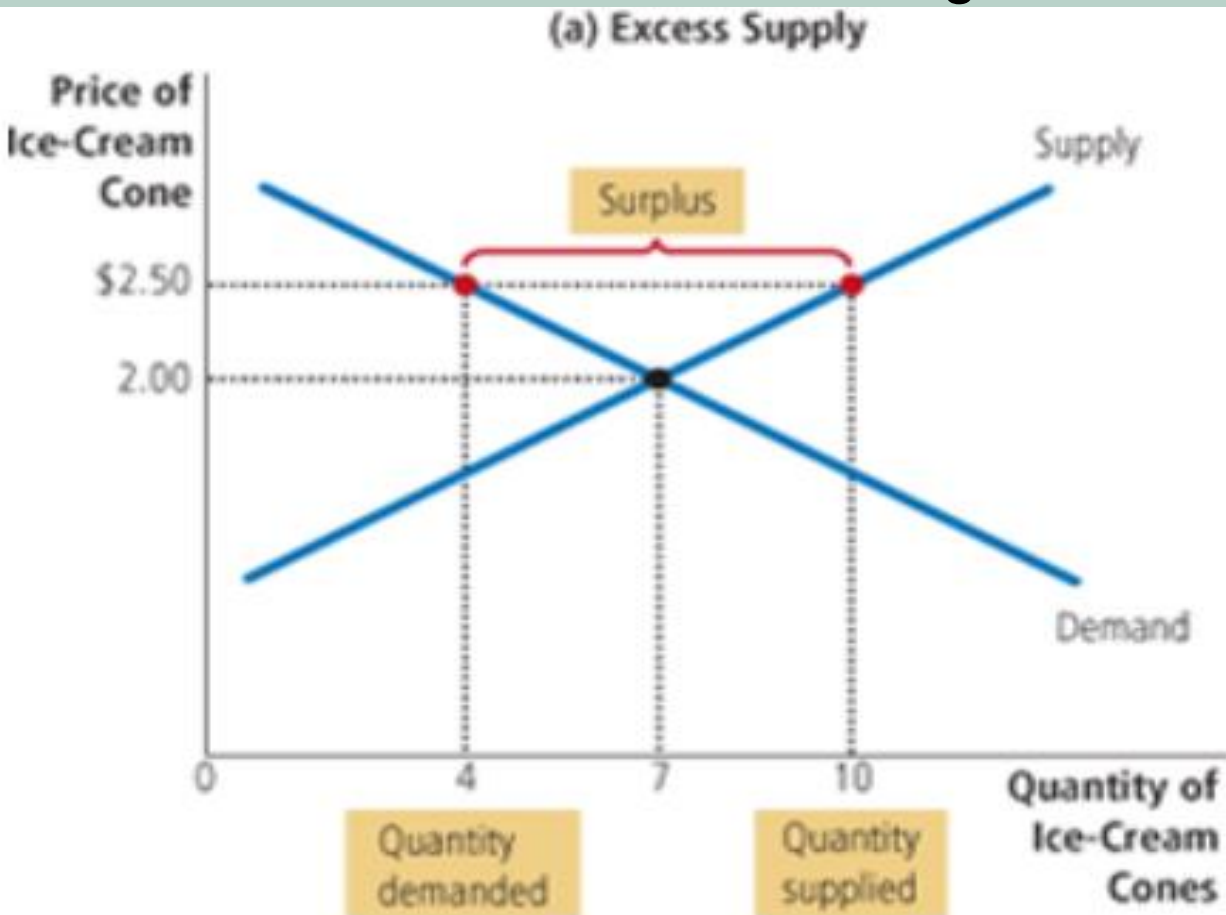
\$2.00 is the
Equilibrium Price

7 is the
Equilibrium Quantity

Equilibrium occurs where Quantity Supplied Equals Quantity Demanded
-Where the Supply curve and the Demand curve meet

EQUILIBRIUM!!

- When the price is too high, more firms supply the good than consumers demand of the good: the result is a surplus
- When the price is too low, more of the good is demanded by consumers than firms want to supply at that price: the result is a shortage



WHAT CAN SHIFT THE DEMAND CURVE? (CH4-2C)

- 1) Change in prices of Related Goods
- 2) Change in Tastes and Preferences
- 3) Change in Consumers Income
- 4) Change in the Number of Buyers
- 5) Change in Expectations of Price

WHAT CAN SHIFT THE SUPPLY CURVE?(CH4-3C)

- 1) Change in Costs of Inputs
- 2) Change in Technology
- 3) Change in the number of Suppliers
- 4) Expectations of Future

ANALYZING SHIFTS IN SUPPLY AND DEMAND: A CHEAT SHEET

Increase in Demand Causes: **Increase in Supply Causes:**

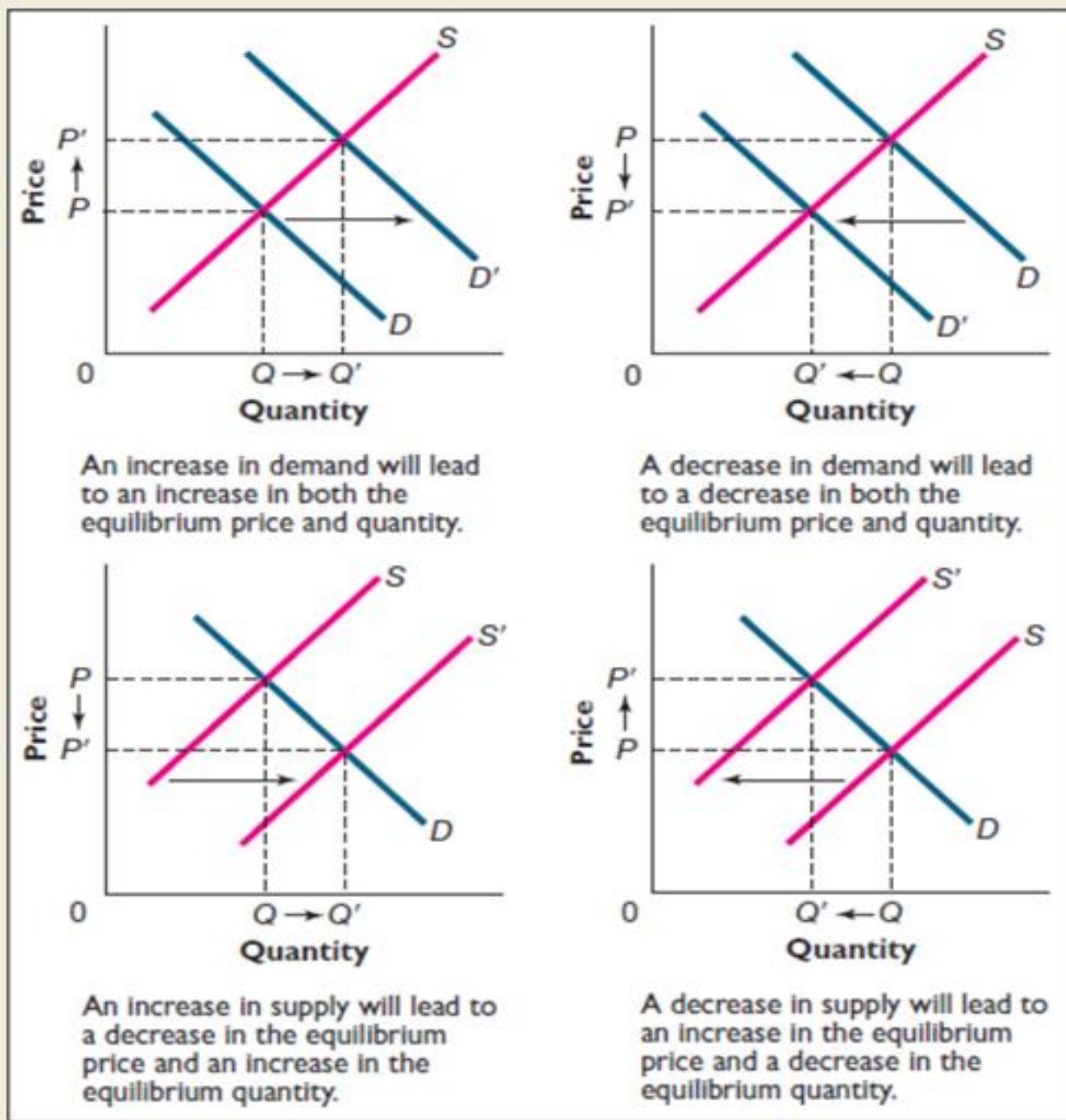
-Increase in
Equilibrium Price & Equilibrium Price &
Increase in
Equilibrium
Quantity

-Decrease in
Equilibrium Price & Equilibrium Price &
Increase in
Equilibrium
Quantity

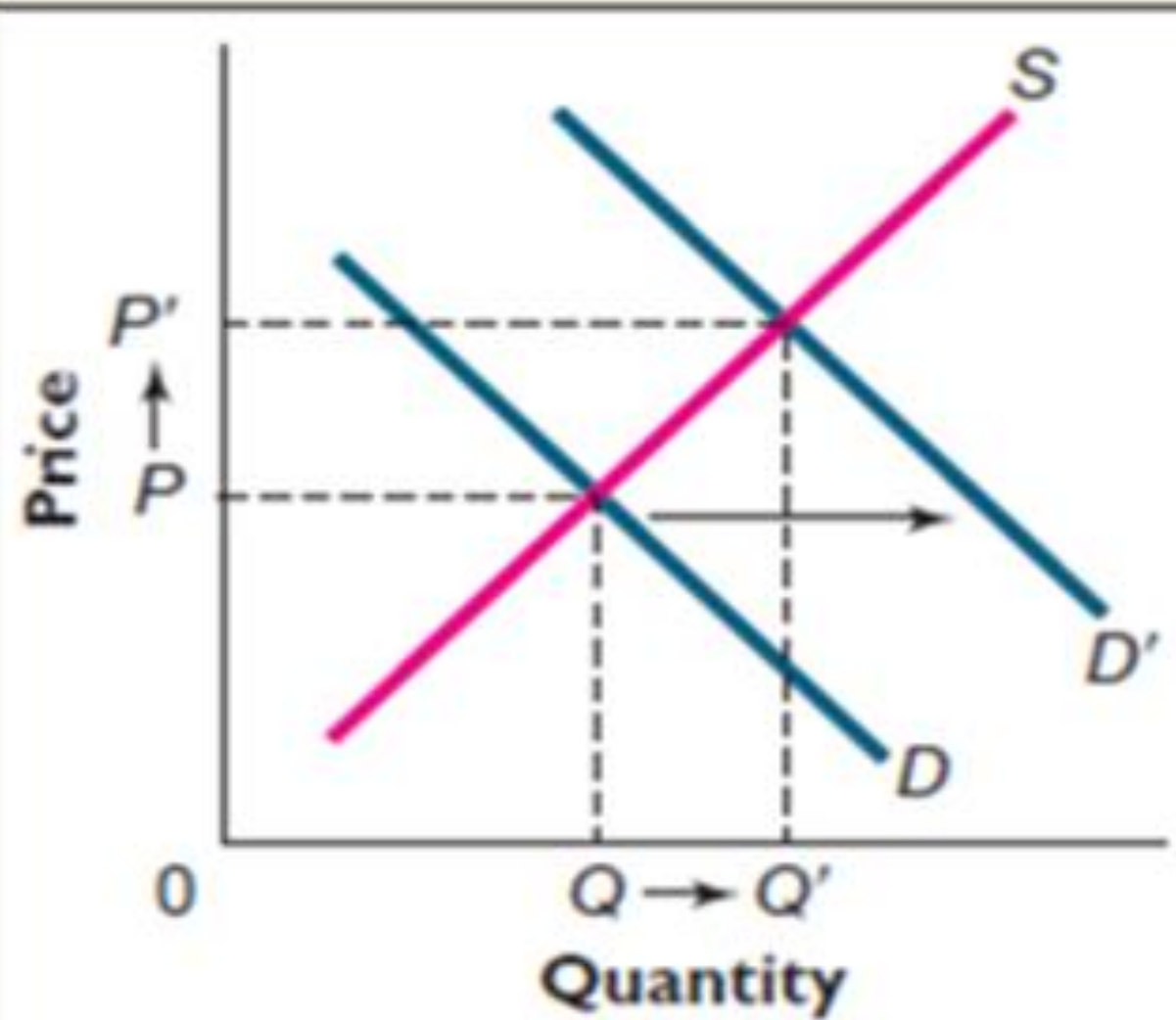
Decrease In Demand Causes: **Decrease in Supply Causes:**

-Decrease in
Equilibrium Price & Equilibrium Price &
Decrease in
Equilibrium
Quantity

-Increase in
Equilibrium Price & Equilibrium Price &
Decrease in
Equilibrium
Quantity

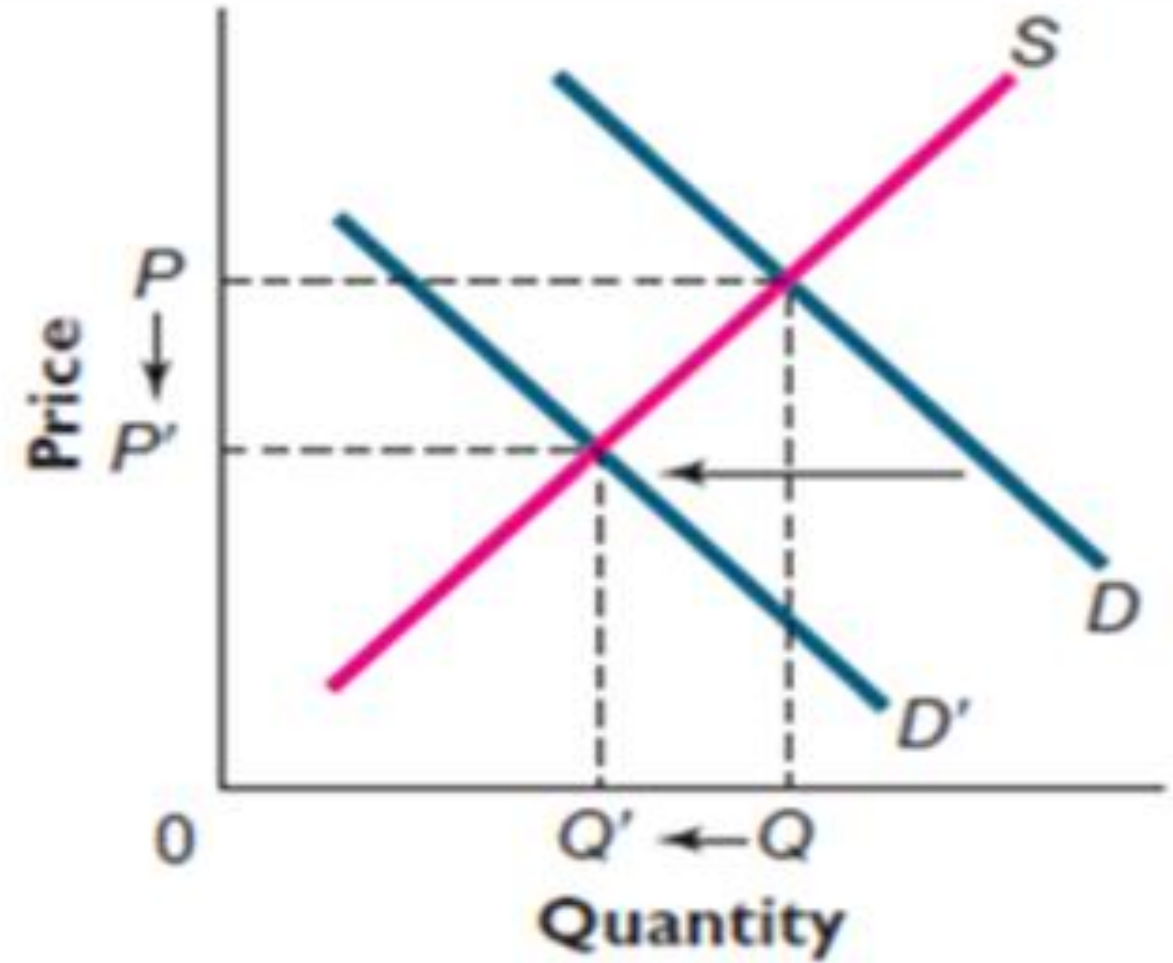


PRACTICE MAKES
PERFECT!!



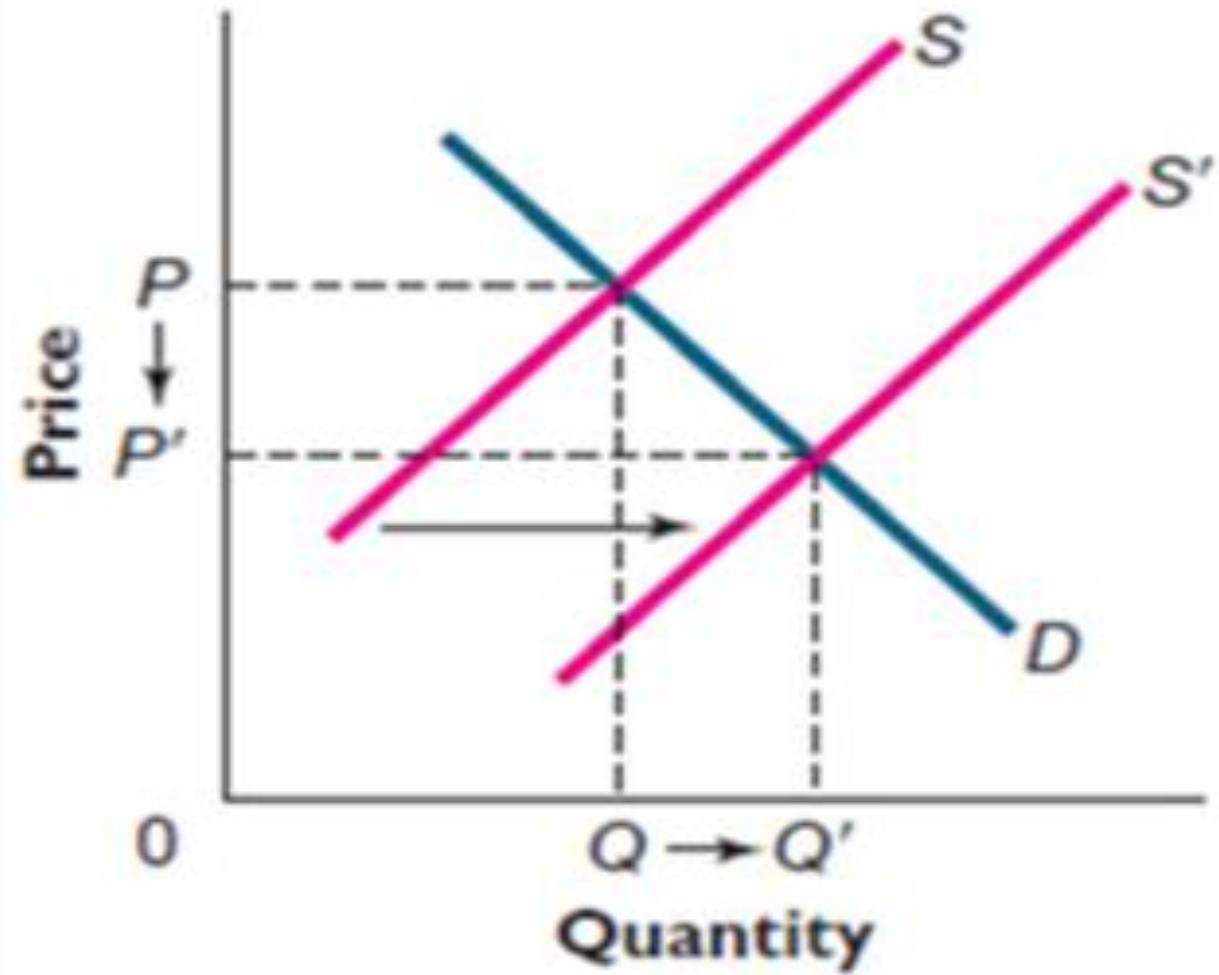
An increase in demand will lead to an increase in both the equilibrium price and quantity.

PRACTICE MAKES
PERFECT!!



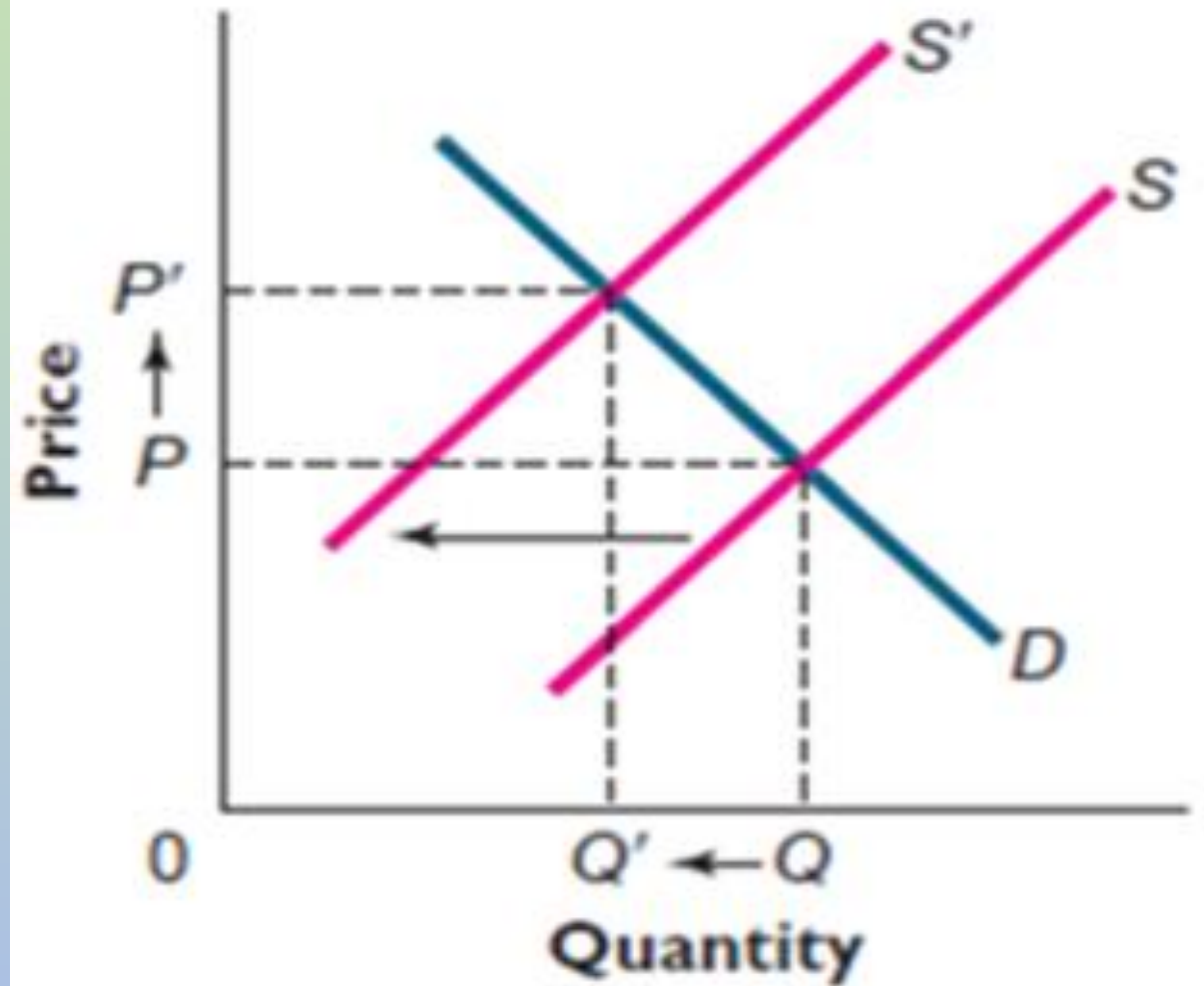
A decrease in demand will lead to a decrease in both the equilibrium price and quantity.

PRACTICE MAKES
PERFECT!!



An increase in supply will lead to a decrease in the equilibrium price and an increase in the equilibrium quantity.

PRACTICE MAKES
PERFECT!!



A decrease in supply will lead to an increase in the equilibrium price and a decrease in the equilibrium quantity.

DUAL SHIFT PROBLEMS